

already staffed and running. You can share in all the rewards of business ownership without much of the effort. The stock market enables you to own fractions of a few businesses of your choosing, over a period of your choosing, with full liquidity to buy or sell that stake anytime with a few clicks on your computer. Humanity has given you a marvelous asset compounding machine that's vastly superior to virtually all other alternatives and made it all amazingly cheap and easy to use. Papa Patel does not have these advantages, and we have a huge leg up on him with the stock market at our disposal. The key is to only participate in the stock market using the powerful Dhandho investing framework.

3. When humans buy or sell whole businesses, both sides have a good sense of what the asset is worth and a rational price is usually arrived at. Sometimes in these transactions, if the business or industry is distressed, buyers might get a bargain like Papa Patel did, but those are anomalies. Sellers usually get to time these sales to their benefit. As a result, you typically end up with fair to exuberant pricing.

The stock market operates like the pari-mutuel system in horse racing—prices are determined by an auction process. Like in horse racing, the auction process occasionally leads to a wide divergence between the value of a business and its quoted market price in a few stocks. We can do very well by only placing an occasional bet when the odds are heavily in our favor. According to Charlie Munger:

If you stop to think about it, a pari-mutuel system is a market. Everybody goes there and bets and the odds change based on what's bet. That's what happens in the stock market.²

—Charlie Munger

4. Buying an entire business—even a small neighborhood gas station or laundromat—requires some serious capital. In the stock market, you can hitch your wagon to the future prospects of any business with what you have in your wallet right now. The ability to get